- GSTR-8: monthly return to be filed by the e-commerce operators who are required to deduct TCS under GST, introduced in October 2018.
- GSTR-9: annual return to be filed by all registered persons other than an ISD, TDS/TCS deductors, Casual Taxable Person and Non-Resident taxpayer (NRTP). This document contains the details of all supplies made and received under various tax heads (CGST, SGST and IGST) during the entire year along with turnover and audit details for the same.
- GSTR-9C: annual audit form for all taxpayers having a turnover above ₹ 5 crore in a particular financial year. It is basically a reconciliation statement between the annual returns filed in GSTR-9 and the taxpayer's audited annual financial statements.
- GSTR-2A: a system-generated statement of inward supplies for a recipient. It contains the details of all business to business (B2B) transactions of suppliers declared in their Form GSTR-1/5, ISD details from GSTR-6, details from GSTR-7 and GSTR-8 respectively by the counterparty and import of goods from overseas on bill of entry, as received from Indian Customs Electronic Gateway (ICEGATE) Portal of Indian Customs.
- GSTR-2B: It is a month-wise auto-drafted statement for regular taxpayers (whether or not opted they have obtained into the quarterly return and monthly payment (QRMP) scheme) introduced on the GST portal providing eligible and ineligible ITC for each month, similar to GSTR-2A but remains constant or unchanged for a period. The statement was launched from the August 2020 tax period onwards.

The details of data analysis undertaken on the 18 identified parameters and impact thereon is given in **Table 4.3.**

Table 4.3: Details of data Analysis undertaken

Audit Dimensions[74]	Algorithm used	Risk parameter
Domain: ITC		
D1	ITC available as per GSTR-2A with all its amendments was compared with the ITC availed in GSTR-3B in Table 4A (5) (accrued on domestic supplies) excluding the reversals in Table 4B (2) but including the ITC availed in the subsequent year from Table 8C of GSTR-9 and blocked credits.	ITC mismatch between GSTR-2A and GSTR-3B
D2	ITC available from GSTR-2A was compared with Table 8A of GSTR-9 which captures ITC available from GSTR-2A (as an auto-populated non-editable field) but excludes those entries in	ITC passed on without supplier remitting tax

[74] D15 (NRTP not paying taxes), D18 (Re-registrations still operating business) and D19 (Composition not migrating to normal levy) dimensions not issued as no material deficiencies emerged.

Audit Dimensions[74]	Algorithm used	Risk parameter
	GSTR-2A where the supplier has not filed GSTR-1 by due date of its filing and also excludes the ITC for the period during which the recipient taxpayer was under composition scheme.	
D3[75]	ITC availed through Table 4 of GSTR-3Bs pertaining to period 2018-19 to 2020-21 filed after October of the following year.	ITC availed in GSTR-3B filed after the cut-off period.
D4	ISD ITC availed in GSTR-9 Table 6G or GSTR-3B Table 4(A)(4) of recipient was compared with the sum of Table 5A, Table 8A, and Table 9A of GSTR-6 of distributor GSTINs	Incorrect availing of ISD credit
D5	RCM payments in GSTR-9 Table 4G (tax payable) were compared with ITC availed in GSTR-9 Table 6C, 6D and 6F (ITC availed). In cases where GSTR-9 was not available, RCM payment in GSTR-3B Table 3.1(d) was compared with GSTR-3B 4(A)(2) and 4A(3). Greater of difference in GSTR-9 and GSTR-3B considered where both were available.	Short payment of tax under RCM versus ITC availed in GSTR-3B/ GSTR-9
D6	Positive figure in GSTR-9C Table 12F and examination of reasons provided in Table 13 for mismatch	Mismatch of ITC availed between Annual returns and Books of accounts
D7	Positive figure in GSTR-9C Table 14T and examination of reasons provided in Table 15 for mismatch	Reconciliation between ITC availed in Annual returns of taxpayers with expenses in financial statements
D8	The closing balance of the legacy returns (ST-3 and ER-1) returns was compared with the 5(a) figure of the TRAN-1 return. The cases where TRAN-1 table 5(a) was more than closing balance of CENVAT credit in ST-3 and ER-1 were identified.	Excess ITC availed during transition from the old regime.
Domain: Tax payments		
D9	The greater of tax liability between GSTR-1 (Tables 4 to 11), considering advances and amendments, and GSTR-9 (Tables 4N, 10 and 11) was compared with tax paid details in GSTR-3B Tables 3.1(a) and 3.1(b). In cases where GSTR-9 was not available, GSTR-3B tax paid was compared with GSTR-1 liability.	Unsettled liabilities of taxes.
D10	GSTR-3B Table 3.1(a)+(b) was compared with tax liability declared in the e-way bills and cases where GSTR-3B are less than e-way bills are identified.	Suppression of tax liability based on E-way bill verification

[75] Amendment was made in the CGST Act to give effect to this recommendation of GST council sub-section (5) of section 16 of the CGST Act was inserted vide Section 118 of Finance (No.2) Act, 2024 with effect from 1 July 2017 which stipulates that notwithstanding anything contained in sub-section (4), in respect of an invoice or debit note for supply of goods or services or both pertaining to the Financial Years 2017-18, 2018-19, 2019-20 and 2020-21, the registered person shall be entitled to take input tax credit in any return under section 39 which is filed upto the 30 November 2021.This impacts deviations in Dimension 3 for FYs 2018-19 and 2019-20.

Audit Dimensions[74]	Algorithm used	Risk parameter
D11	Negative figure in GSTR-9C Table 9R and examination of reasons provided in Table 10 for mismatch	Mismatch in tax paid between books of accounts and returns
D12	Table 3.1(a) of GSTR-3B was compared with Column 6 of Table 9 of GSTR-2A. Cases where GSTR-3B values are less than that of GSTR-2A are identified.	Under-declaration of taxable supplies by comparing TDS returns
D13	Unbilled revenue at the beginning of the year in GSTR-9C Table 5B should tally with the unbilled revenue of the previous GSTR-9C shown in Table 5H. Any mismatch indicates suppression of taxable turnover.	Suppression of taxable value based on unbilled revenue declared in GSTR-9C.
D14	Negative figure in GSTR-9C Table 7G and examination of reasons provided in Table 8 for mismatch	Mismatch in taxable turnover declared in GSTR-9C Table 7G
D16	The composition taxpayers whose turnover on all India basis (Central and State jurisdiction) under all GSTINs of the same PAN have crossed the turnover limit of ₹ 1 crore in 2018-19 and ₹ 1.5 crore in 2019-20 were identified.	Taxpayer Ineligible to remain under Composition Levy Scheme (CLS)
D17	E-commerce GSTR-8 became effective from 1 October 2018 when TCS provisions became effective. GSTINs declared in GSTR-8 who are also filing GSTR-4/CMP-08 under composition scheme.	Composition taxpayers also availing e-commerce facility thereby being ineligible to continue in Composition Scheme
D20	Taxpayers who have not filed GSTR-3B but have filed GSTR-1 or where GSTR-2A available, indicating taxpayers carrying on the business without discharging tax.	GSTR-3B was not filed but GSTR-1 is available
D21	Interest calculated at the rate of 18 per cent on cash portion of tax payment on delayed filing of GSTR-3B vis-à-vis interest declared in GSTR-3B	Short payment of interest

The Pan-India data analysis also depicted large number of deviations with extreme money values which point out lack of basic validation control that should have been built into the application software. For example, for suppression of tax liability based on E-Way bill, the number of deviations were 3,24,048 with money value of ₹ 71,91,811 crore, and under the tax liability mismatch across the returns GSTR-1, 3B and 9 the number of deviations were 11,30,143 and money value of ₹ 10,88,229 crore. These unrealistic money value figures indicated that controls to input and validate data in GST system and EWB system are either not working properly or are entirely absent.

As part of this SSCA, Audit selected a sample of 10,124 cases from amongst the top deviations /inconsistencies in the returns in each of the 18 parameters for the year 2018-19 to 2020-21. The audit queries were issued to the respective Ranges between May 2023 and July 2023 without further scrutiny of taxpayer's records. The audit check in these cases was limited to verifying the Department's action on the identified deviations/mismatches. Out of the 10,124 deviations/inconsistencies issued to the Department, responses were received for 8,106 cases.

In 307 cases, constituting four per cent, the Department stated that it was examining the underlying deviation of ₹ 33,017 crore. In 714 cases though the Department did not accept the deviations pointed out by Audit, its contention was not borne out by evidence, and was thus not amenable to verification by Audit.

4.8.4.1 Compliance deviations in GST Returns- Centralised Audit

Based on responses received from the Department to the Audit Queries, the extent to which each of the 18 parameters translated into compliance deviations is summarized in **Table 4.4.**

Table 4.4: Summary of deficiencies

(₹ in crore)

Audit Dimension	Sample		Cases where reply received[76]		Department reply accepted by Audit including data entry errors, Action taken before query		Compliance deviations					
							Accepted by Department including cases where action is yet to be initiated		Department's reply not acceptable to Audit (Rebuttal)		Total	
	No.	Amt.	No.	Amt.	No.	Amount	No.	Amt.	No.	Amt.	No.	Amt.
1	2	3	4	5	6	7	8	9	10	11	12=8+10	13=9+11
D1- ITC Mismatch (R3B & R2A)	1,074	32,809.07	849	27,349.27	549	17,918.28	281	5,719.78	12	282.57	293	6,002.35
D2- ITC passed on without supplier remitting tax	534	9,311.16	395	7,251.79	265	4,199.00	112	1,509.63	13	172.64	125	1,682.27
D3- ITC Availed on 3B filed after limitation period	804	3,019.29	650	2,331.68	298	1,093.51	342	1,069.90	9	21.79	351	1,091.69
D4- Excess ISD credit	569	519.65	458	421.86	307	266.00	101	76.04	3	1.66	104	77.70
D5- Short payment of tax on RCM	670	3,972.23	554	3,249.13	463	2,561.91	116	346.79	2	4.04	118	350.83
D6- Table 12F	269	3,463.40	227	3,212.68	168	2,718.00	45	170.55	2	5.08	47	175.63
D7- Table 14T	263	3,086.19	214	2,513.61	170	2,085.91	33	83.32	2	10.02	35	93.34
D8- TRAN in excess of C/B	779	1,302.57	693	1,156.91	526	885.00	90	110.46	11	31.47	101	141.93
D9- Undischarged tax	1,079	32,670.84	865	24,271.70	716	17,232.25	243	3,307.00	11	156.24	254	3,463.24

[76] Each GSTIN per dimension is considered as a single case. Hence it can so happen that the same combination of GSTIN + Dimension, can fit into different categories based on the response received from the Department (8,106) for different years viz. 2018-19, 2019-20 and 2020-21.

Audit Dimension	Sample		Cases where reply received[76]		Department reply accepted by Audit including data entry errors, Action taken before query		Compliance deviations: Accepted by Department including cases where action is yet to be initiated		Compliance deviations: Department's reply not acceptable to Audit (Rebuttal)		Compliance deviations: Total	
	No.	Amt.	No.	Amt.	No.	Amount	No.	Amt.	No.	Amt.	No.	Amt.
1	2	3	4	5	6	7	8	9	10	11	12=8+10	13=9+11
liability (R1 & R9)												
D10- Suppression of tax payable (E-Way Bill)	808	7,99,582.36	638	7,73,830.48	493	7,60,077.70	100	3,648.79	2	64.32	102	3,713.11
D11- Short-payment of tax (Table 9R)	265	2,558.60	203	2,094.04	189	1,913.10	24	155.93	3	2.65	27	158.58
D12- Short-payment of tax (TDS/TCS)	401	7,935.52	307	7,139.11	203	6,576.54	72	47.82	2	NQ	74	47.82
D13- Unbilled revenue	269	13,904.88	215	10,024.19	162	6,122.63	32	28.86	4	NQ	36	28.86
D14- Table 7G	269	3,31,997.80	217	2,90,112.14	174	2,12,856.98	25	2,667.38			25	2,667.38
D16- Ineligible composition levy [77]	62	NQ	50	NQ	17	NQ	20	4.77			20	4.77
D17- E-commerce composition levy[78]	126	NQ	107	NQ	70	NQ	31	0.30	1	NQ	32	0.30
D20- GSTR-3B not filed but GSTR-1 available	806	4,678.91	662	3,651.28	293	1,661.02	347	1,747.02	5	40.55	352	1,787.57
D21- Non-payment of interest	1,077	985.27	802	723.51	491	418.31	407	194.34	16	13.40	423	207.74
Total	**10,124**	**12,51,797.74**	**8,106**	**11,59,333.38**	**5,554**	**10,38,585.84**	**2,421**	**20,888.68**	**98**	**806.43**	**2,519**	**21,695.11**

NQ - Not quantified.

Out of 8,106 cases where the Department replied, 2,519 cases translated into compliance deviations with a revenue implication of ₹ 21,695.11 crore. Further, 3,131 cases involving a mismatch of ₹ 8, 32,453.41 crore had valid reasons for the mismatch and data entry errors caused a mismatches of ₹ 61,715.87 crore in 523 cases. The Department has accepted the audit observations or initiated action in 2,421 cases with tax effect of ₹ 20,888.68[79] crore. Out of these cases, the Department has recovered ₹ 124.13 crore in 257 cases, issued SCN or issued DRC-01B[80], DRC-01D[81], DRC-13[82] in 1276

[77] Money value of not quantified for this dimension.
[78] Money value of not quantified for this dimension.
[79] Deviations pertaining to turnover; D12, D13 and D14 were not taken into account, except in cases where the tax was quantified by the Department through recovery or SCN.
[80] Intimation of difference in liability reported in statement of outward supplies and that reported in return.
[81] Intimation for amount recoverable under Section 79.
[82] Notice to a third person under section 79(1)(c) of CGST Act.